# QUARTERLY INVESTOR REPORT

Jasper Verde Secure Storage | Boston, MA

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| **Investment** | Jasper Verde Secure Storage |
| **Quarter** | 2Q 2020 |
| **Report Date** | December 22, 2022 |
| **Sponsor** | Anchorage Meadow Partners |
| **Occupancy** | 91.6% |

## Investment Overview

Physical occupancy is 93.0% and the average in-place rent is $182 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Physical occupancy is 95.8% and the average in-place rent is $182 per unit per month. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Property Operations

Collections for the period were 88.1% of billed charges, with bad debt of 7.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Service requests are tracked through a work-order system with an average completion time of 14 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day.

## Investor Distributions

Projected levered IRR is 5.2% with an equity multiple of 1.19x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 88.4% and the average in-place rent is $182 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Projected levered IRR is 8.5% with an equity multiple of 1.18x over the hold period.

## Management Commentary

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Collections for the period were 94.8% of billed charges, with bad debt of 3.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day.

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## Business Plan Progress

Projected levered IRR is 10.9% with an equity multiple of 1.7x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Projected levered IRR is 5.6% with an equity multiple of 1.24x over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

Collections for the period were 96.1% of billed charges, with bad debt of 3.4% of gross potential income. Physical occupancy is 90.5% and the average in-place rent is $182 per unit per month. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 44 hours.

## Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Physical occupancy is 88.5% and the average in-place rent is $182 per unit per month. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Physical occupancy is 96.5% and the average in-place rent is $182 per unit per month. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

## Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Service requests are tracked through a work-order system with an average completion time of 6 hours. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Physical occupancy is 89.3% and the average in-place rent is $182 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.6% of billed charges, with bad debt of 4.5% of gross potential income.

## Risk Considerations

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Projected levered IRR is 4.9% with an equity multiple of 1.25x over the hold period. Physical occupancy is 91.9% and the average in-place rent is $182 per unit per month.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Landscape / irrigation | Life Safety | 07/14/25 | Q3 2026 | $748,000 | $620,455 | Bidding |
| HVAC replacement | Site | 06/03/23 | Q4 2026 | $474,000 | $199,428 | Bidding |
| Sewer line repair | Building | 11/28/23 | Q1 2027 | $453,000 | $122,332 | Approved |
| Unit interior upgrades | Interior | 11/23/26 | Q1 2025 | $107,000 | $45,882 | Deferred |
| Landscape / irrigation | Life Safety | 04/30/23 | Q3 2025 | $317,000 | $83,683 | In progress |
| Security camera upgrade | Energy | 03/13/25 | Q1 2025 | $391,000 | $194,586 | Bidding |
| ADA compliance | Site | 05/08/24 | Q2 2025 | $546,000 | $526,831 | Bidding |
| Exterior paint | Interior | 11/16/26 | Q3 2025 | $343,000 | $255,175 | Complete |
| Pool resurfacing | Building | 02/18/26 | Q1 2026 | $884,000 | $516,423 | In progress |
| Parking lot resurfacing | Building | 01/17/24 | Q4 2027 | $737,000 | $137,637 | Approved |
| Unit interior upgrades | Site | 10/05/23 | Q4 2026 | $836,000 | $165,314 | Bidding |
| Fence replacement | Site | 01/06/25 | Q3 2026 | $306,000 | $135,173 | Deferred |
| Exterior paint | Building | 02/19/23 | Q1 2027 | $598,000 | $190,889 | In progress |
| Exterior paint | Energy | 06/20/23 | Q3 2026 | $291,000 | $231,508 | Approved |
| Landscape / irrigation | Life Safety | 10/18/25 | Q1 2026 | $584,000 | $81,146 | Complete |
| Signage / monument | Building | 01/16/24 | Q4 2026 | $449,000 | $366,116 | Complete |
| Door hardware | Life Safety | 08/07/26 | Q2 2027 | $895,000 | $653,948 | Approved |
| Fire alarm panel upgrade | Interior | 03/17/26 | Q2 2025 | $351,000 | $205,064 | Complete |
| Landscape / irrigation | Site | 02/16/23 | Q2 2026 | $219,000 | $131,253 | Bidding |
| HVAC replacement | Life Safety | 04/05/25 | Q3 2027 | $334,000 | $23,894 | Deferred |
| Landscape / irrigation | Interior | 10/21/23 | Q2 2025 | $44,000 | $6,729 | Approved |
| HVAC replacement | Life Safety | 12/26/26 | Q3 2027 | $481,000 | $414,321 | Approved |
| Sewer line repair | Energy | 08/22/24 | Q1 2025 | $894,000 | $524,094 | Approved |
| Exterior paint | Site | 03/29/26 | Q3 2027 | $114,000 | $110,794 | Approved |
| LED lighting retrofit | Energy | 11/26/24 | Q4 2026 | $365,000 | $313,888 | In progress |
| Amenity renovation | Interior | 08/14/23 | Q3 2025 | $456,000 | $364,939 | Approved |
| Water heater replacement | Site | 12/29/24 | Q3 2025 | $491,000 | $400,545 | Deferred |
| Signage / monument | Building | 02/09/23 | Q4 2027 | $634,000 | $369,531 | In progress |
| Roof replacement - Bldg B | Energy | 09/25/24 | Q1 2027 | $702,000 | $353,309 | In progress |
| Fence replacement | Site | 01/09/24 | Q4 2026 | $44,000 | $35,729 | Bidding |
| Fence replacement | Energy | 02/04/25 | Q3 2027 | $496,000 | $152,181 | Complete |
| LED lighting retrofit | Building | 10/24/23 | Q4 2027 | $870,000 | $759,890 | In progress |
| Door hardware | Building | 10/11/25 | Q4 2027 | $731,000 | $465,813 | In progress |
| Storefront glazing | Interior | 11/18/23 | Q4 2027 | $864,000 | $843,054 | Complete |
| Amenity renovation | Life Safety | 12/07/25 | Q1 2025 | $433,000 | $379,952 | Approved |
| HVAC replacement | Life Safety | 01/16/23 | Q1 2026 | $416,000 | $177,681 | Deferred |
| ADA compliance | Life Safety | 10/20/24 | Q4 2027 | $611,000 | $632,941 | In progress |
| LED lighting retrofit | Energy | 02/20/24 | Q2 2025 | $37,000 | $35,192 | Deferred |
| Elevator modernization | Life Safety | 09/01/23 | Q4 2025 | $257,000 | $250,777 | Complete |
| Storefront glazing | Life Safety | 03/29/25 | Q3 2025 | $121,000 | $5,442 | Complete |
| Sewer line repair | Building | 08/13/23 | Q2 2025 | $334,000 | $319,326 | Approved |
| Elevator modernization | Interior | 09/19/23 | Q4 2026 | $447,000 | $395,437 | In progress |
| Security camera upgrade | Interior | 06/22/24 | Q1 2027 | $420,000 | $303,261 | Deferred |

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## Financial Analysis

Debt service coverage ratio was 6.01x on a trailing basis against a covenant minimum of 1.20x. Physical occupancy is 93.3% and the average in-place rent is $182 per unit per month. The going-in capitalization rate of 6.87% reflects the in-place income and the stabilized occupancy assumption. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Effective gross income for the trailing period was $24,000, representing a 3.0% increase over the prior year.

Effective gross income for the trailing period was $64,000, representing a 8.6% increase over the prior year. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The going-in capitalization rate of 5.61% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period.

## Submarket Analysis

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Physical occupancy is 96.4% and the average in-place rent is $182 per unit per month.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Investor demand for Self Storage assets in Boston remains strong with recent trades at capitalization rates between 6.57% and 6.57%. Rent growth in the submarket has averaged 6.8% annually over the past 11 years.

## Valuation Discussion

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The going-in capitalization rate of 5.99% reflects the in-place income and the stabilized occupancy assumption. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.32x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

## Supply and Demand

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Market vacancy for comparable Self Storage product stands at 13.8%, down from 6.7% two years ago. Physical occupancy is 88.5% and the average in-place rent is $182 per unit per month. Investor demand for Self Storage assets in Boston remains strong with recent trades at capitalization rates between 6.32% and 6.32%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Investor demand for Self Storage assets in Boston remains strong with recent trades at capitalization rates between 5.66% and 5.66%. Physical occupancy is 96.9% and the average in-place rent is $182 per unit per month. Jasper Verde Secure Storage is located in Boston, MA, a market that has recorded 13.3% population growth over the last five years.

## Income and Expense Review

Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Physical occupancy is 88.8% and the average in-place rent is $182 per unit per month. The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $76,269 | $79,656 | $84,675 | $8,406 | 11.0% | $148.29 |
| 5010 Loss to Lease | $68,090 | $72,475 | $75,399 | $7,309 | 10.7% | $132.05 |
| 5020 Vacancy Loss | $52,127 | $52,077 | $53,544 | $1,418 | 2.7% | $93.77 |
| 5030 Concessions | $65,074 | $63,212 | $63,927 | -$1,146 | -1.8% | $111.96 |
| 5040 Bad Debt | $21,128 | $22,247 | $22,419 | $1,290 | 6.1% | $39.26 |
| 5050 Late Fees | $33,681 | $33,874 | $34,957 | $1,276 | 3.8% | $61.22 |
| 5060 Utility Reimbursements | $97,941 | $91,936 | $97,937 | -$4 | -0.0% | $171.52 |
| 5070 Parking Income | $71,887 | $76,825 | $81,208 | $9,320 | 13.0% | $142.22 |
| 5080 Application Fees | $84,886 | $90,519 | $91,495 | $6,609 | 7.8% | $160.24 |
| 5090 Pet Rent | $101,405 | $99,004 | $102,150 | $745 | 0.7% | $178.90 |
| 5100 Laundry Income | $93,235 | $98,009 | $101,738 | $8,503 | 9.1% | $178.17 |
| 5110 Cable/Internet Revenue | $103,495 | $99,932 | $101,342 | -$2,154 | -2.1% | $177.48 |
| 5120 CAM Reimbursements | $24,503 | $24,263 | $25,467 | $965 | 3.9% | $44.60 |
| 5130 Tax Reimbursements | $42,401 | $42,302 | $43,133 | $733 | 1.7% | $75.54 |
| 5140 Insurance Reimbursements | $73,826 | $73,185 | $74,870 | $1,044 | 1.4% | $131.12 |
| 5150 Percentage Rent | $27,616 | $26,995 | $27,605 | -$11 | -0.0% | $48.34 |
| 5160 Misc. Income | $29,582 | $29,322 | $30,919 | $1,338 | 4.5% | $54.15 |
| 5170 Payroll - Management | $20,515 | $21,248 | $21,364 | $849 | 4.1% | $37.41 |
| 5180 Payroll - Leasing | $100,489 | $95,798 | $97,469 | -$3,020 | -3.0% | $170.70 |
| 5190 Payroll - Maintenance | $17,944 | $19,016 | $19,759 | $1,815 | 10.1% | $34.60 |
| 5200 Payroll Taxes & Benefits | $82,876 | $78,756 | $79,169 | -$3,708 | -4.5% | $138.65 |
| 5210 Repairs - Plumbing | $49,388 | $47,086 | $49,220 | -$168 | -0.3% | $86.20 |
| 5220 Repairs - HVAC | $13,380 | $12,704 | $13,289 | -$91 | -0.7% | $23.27 |
| 5230 Repairs - Electrical | $54,528 | $52,122 | $54,149 | -$379 | -0.7% | $94.83 |
| 5240 Repairs - Appliances | $17,136 | $16,337 | $17,101 | -$35 | -0.2% | $29.95 |
| 5250 Painting & Decorating | $90,318 | $94,070 | $96,337 | $6,019 | 6.7% | $168.72 |
| 5260 Flooring | $51,618 | $51,289 | $54,879 | $3,261 | 6.3% | $96.11 |
| 5270 Make-Ready / Turnover | $86,426 | $91,091 | $93,047 | $6,621 | 7.7% | $162.95 |
| 5280 Landscaping Contract | $84,781 | $78,645 | $80,732 | -$4,049 | -4.8% | $141.39 |
| 5290 Snow Removal | $14,415 | $15,157 | $15,322 | $907 | 6.3% | $26.83 |
| 5300 Janitorial | $92,592 | $86,547 | $89,825 | -$2,767 | -3.0% | $157.31 |
| 5310 Pest Control | $87,222 | $87,678 | $91,841 | $4,619 | 5.3% | $160.84 |
| 5320 Trash Removal | $12,762 | $12,168 | $12,253 | -$509 | -4.0% | $21.46 |
| 5330 Elevator Contract | $11,624 | $12,488 | $13,096 | $1,471 | 12.7% | $22.93 |
| 5340 Fire & Life Safety | $77,870 | $80,404 | $84,998 | $7,129 | 9.2% | $148.86 |
| 5350 Security | $22,358 | $22,179 | $22,988 | $630 | 2.8% | $40.26 |
| 5360 Electricity - Common | $72,677 | $75,299 | $78,574 | $5,897 | 8.1% | $137.61 |
| 5370 Gas - Common | $52,936 | $54,441 | $56,443 | $3,507 | 6.6% | $98.85 |
| 5380 Water & Sewer | $34,531 | $32,342 | $33,197 | -$1,335 | -3.9% | $58.14 |
| 5390 Telephone/Internet | $45,191 | $46,392 | $48,695 | $3,504 | 7.8% | $85.28 |

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## Investment Overview

Physical occupancy is 95.5% and the average in-place rent is $182 per unit per month. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 2.9% with an equity multiple of 1.7x over the hold period.

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 94.4% and the average in-place rent is $182 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 11.5% with an equity multiple of 1.21x over the hold period.

## Management Commentary

The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 95.3% and the average in-place rent is $182 per unit per month. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Service requests are tracked through a work-order system with an average completion time of 36 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Service requests are tracked through a work-order system with an average completion time of 46 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Investor Distributions

Projected levered IRR is 6.6% with an equity multiple of 1.13x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Physical occupancy is 95.1% and the average in-place rent is $182 per unit per month. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital.

## Management Commentary

Physical occupancy is 92.4% and the average in-place rent is $182 per unit per month. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Collections for the period were 94.2% of billed charges, with bad debt of 5.1% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 30 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 95.8% and the average in-place rent is $182 per unit per month. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Projected levered IRR is 9.7% with an equity multiple of 1.6x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Lobby renovation | Life Safety | 11/15/26 | Q1 2026 | $598,000 | $199,397 | In progress |
| Fence replacement | Interior | 07/26/23 | Q3 2027 | $414,000 | $234,518 | Complete |
| LED lighting retrofit | Site | 05/17/25 | Q1 2026 | $269,000 | $119,078 | Approved |
| Lobby renovation | Interior | 03/14/26 | Q4 2025 | $341,000 | $256,033 | Deferred |
| Security camera upgrade | Energy | 03/20/25 | Q1 2026 | $760,000 | $21,809 | In progress |
| Roof replacement - Bldg C | Life Safety | 08/05/24 | Q2 2026 | $737,000 | $698,218 | Deferred |
| Parking lot resurfacing | Site | 07/28/23 | Q3 2026 | $693,000 | $255,074 | In progress |
| Fence replacement | Interior | 01/22/23 | Q4 2026 | $805,000 | $486,768 | Bidding |
| Sewer line repair | Building | 01/06/26 | Q4 2025 | $316,000 | $176,967 | Approved |
| Security camera upgrade | Interior | 08/29/26 | Q4 2026 | $153,000 | $79,162 | Bidding |
| Pool resurfacing | Energy | 01/09/25 | Q2 2027 | $161,000 | $167,189 | Deferred |
| Fire alarm panel upgrade | Life Safety | 01/14/23 | Q3 2026 | $357,000 | $210,170 | Complete |
| Signage / monument | Site | 12/17/26 | Q1 2025 | $206,000 | $67,831 | Bidding |
| Parking lot resurfacing | Interior | 04/28/23 | Q1 2025 | $120,000 | $57,685 | Deferred |
| Fire alarm panel upgrade | Energy | 11/01/26 | Q3 2026 | $151,000 | $11,299 | Deferred |
| Parking lot resurfacing | Life Safety | 10/10/26 | Q1 2027 | $771,000 | $232,776 | Deferred |
| ADA compliance | Interior | 01/27/24 | Q1 2026 | $495,000 | $275,704 | Approved |
| Water heater replacement | Energy | 09/28/26 | Q2 2025 | $65,000 | $8,129 | In progress |
| Elevator modernization | Interior | 05/22/23 | Q4 2026 | $87,000 | $85,372 | In progress |
| Fire alarm panel upgrade | Energy | 11/05/23 | Q1 2025 | $680,000 | $132,794 | Bidding |
| Water heater replacement | Energy | 02/08/23 | Q3 2027 | $147,000 | $11,375 | In progress |
| Parking lot resurfacing | Interior | 12/10/26 | Q2 2025 | $483,000 | $140,663 | Complete |
| Lobby renovation | Building | 02/12/23 | Q4 2027 | $742,000 | $536,753 | Approved |
| Unit interior upgrades | Life Safety | 08/24/24 | Q4 2027 | $385,000 | $258,523 | Approved |
| Fence replacement | Energy | 11/25/26 | Q4 2025 | $130,000 | $41,594 | Complete |
| Signage / monument | Energy | 11/03/24 | Q3 2026 | $41,000 | $29,731 | Approved |
| Unit interior upgrades | Building | 12/03/23 | Q4 2026 | $212,000 | $144,579 | Bidding |
| Parking lot resurfacing | Site | 10/14/26 | Q2 2025 | $850,000 | $489,778 | Approved |
| Pool resurfacing | Building | 03/30/25 | Q1 2027 | $523,000 | $201,160 | In progress |
| LED lighting retrofit | Site | 09/14/23 | Q4 2026 | $808,000 | $47,134 | Complete |
| Signage / monument | Interior | 02/04/23 | Q1 2026 | $753,000 | $495,409 | Deferred |
| Water heater replacement | Building | 02/16/23 | Q4 2026 | $118,000 | $49,424 | Approved |
| HVAC replacement | Interior | 10/15/25 | Q2 2025 | $511,000 | $275,544 | Approved |
| Roof replacement - Bldg A | Energy | 06/10/23 | Q2 2027 | $656,000 | $309,126 | Deferred |
| Security camera upgrade | Energy | 02/11/25 | Q2 2025 | $575,000 | $478,791 | In progress |
| Roof replacement - Bldg C | Energy | 07/31/23 | Q1 2027 | $196,000 | $34,925 | Bidding |
| Pool resurfacing | Life Safety | 09/23/25 | Q1 2026 | $735,000 | $213,742 | Bidding |
| Lobby renovation | Energy | 06/23/23 | Q1 2026 | $683,000 | $430,742 | Deferred |
| Lobby renovation | Site | 08/21/26 | Q2 2025 | $701,000 | $616,486 | Deferred |
| Lobby renovation | Site | 11/12/25 | Q4 2027 | $881,000 | $279,980 | Bidding |
| Security camera upgrade | Interior | 05/01/24 | Q2 2026 | $804,000 | $758,897 | Complete |

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## Income and Expense Review

Debt service coverage ratio was 6.88x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $222,000, representing a 2.5% increase over the prior year. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 93.8% and the average in-place rent is $182 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.76% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Operating expenses totaled $194,000 or approximately 26.62 per square foot, with real estate taxes representing the largest line item.

## Submarket Analysis

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Rent growth in the submarket has averaged 3.1% annually over the past 8 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Jasper Verde Secure Storage is located in Boston, MA, a market that has recorded 8.8% population growth over the last five years. Investor demand for Self Storage assets in Boston remains strong with recent trades at capitalization rates between 7.43% and 7.43%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Rent growth in the submarket has averaged 7.9% annually over the past 3 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

## Operating Performance

Operating expenses totaled $148,000 or approximately 47.46 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Debt service coverage ratio was 5.17x on a trailing basis against a covenant minimum of 1.20x. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 94.7% and the average in-place rent is $182 per unit per month.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $265,000, representing a 8.2% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Submarket Analysis

Rent growth in the submarket has averaged 6.9% annually over the past 8 years. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 7-mile radius of the property is approximately $154,000 and has grown 11.8% annually. The Boston Self Storage market has experienced absorption of 3900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Market vacancy for comparable Self Storage product stands at 9.3%, down from 3.4% two years ago. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Jasper Verde Secure Storage is located in Boston, MA, a market that has recorded 5.0% population growth over the last five years. Investor demand for Self Storage assets in Boston remains strong with recent trades at capitalization rates between 7.48% and 7.48%. Employment growth is led by healthcare, logistics, education and professional services sectors. The Boston Self Storage market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

## Valuation Discussion

Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.79% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5410 Resident Events | $97,223 | $104,086 | $110,618 | $13,395 | 13.8% | $193.73 |
| 5420 Office Supplies | $58,981 | $61,839 | $61,890 | $2,909 | 4.9% | $108.39 |
| 5430 Legal & Professional | $27,093 | $26,946 | $28,185 | $1,092 | 4.0% | $49.36 |
| 5440 Accounting & Audit | $14,484 | $14,420 | $14,471 | -$13 | -0.1% | $25.34 |
| 5450 Licenses & Permits | $54,943 | $51,946 | $55,289 | $346 | 0.6% | $96.83 |
| 5460 Management Fee | $90,633 | $92,048 | $96,699 | $6,066 | 6.7% | $169.35 |
| 5470 Property Insurance | $51,016 | $53,370 | $55,329 | $4,313 | 8.5% | $96.90 |
| 5480 Real Estate Taxes | $100,786 | $103,308 | $103,882 | $3,096 | 3.1% | $181.93 |
| 5490 Asset Management Fee | $90,423 | $87,911 | $88,764 | -$1,659 | -1.8% | $155.45 |
| 5500 Replacement Reserves | $13,012 | $12,337 | $13,069 | $57 | 0.4% | $22.89 |
| 5510 Roof Repairs | $74,449 | $78,536 | $83,792 | $9,344 | 12.6% | $146.75 |
| 5520 Parking Lot Repairs | $22,102 | $21,603 | $21,862 | -$240 | -1.1% | $38.29 |
| 5530 Signage | $49,012 | $51,811 | $55,112 | $6,100 | 12.4% | $96.52 |
| 5540 Tenant Improvements | $45,425 | $46,911 | $49,653 | $4,228 | 9.3% | $86.96 |
| 5550 Leasing Commissions | $29,180 | $29,128 | $30,129 | $949 | 3.3% | $52.77 |
| 5000 Gross Potential Rent | $49,605 | $48,009 | $49,700 | $95 | 0.2% | $87.04 |
| 5010 Loss to Lease | $17,326 | $16,932 | $17,048 | -$278 | -1.6% | $29.86 |
| 5020 Vacancy Loss | $20,390 | $20,001 | $20,048 | -$343 | -1.7% | $35.11 |
| 5030 Concessions | $44,007 | $42,030 | $44,224 | $216 | 0.5% | $77.45 |
| 5040 Bad Debt | $21,848 | $23,141 | $24,355 | $2,507 | 11.5% | $42.65 |
| 5050 Late Fees | $81,492 | $86,563 | $92,119 | $10,627 | 13.0% | $161.33 |
| 5060 Utility Reimbursements | $35,323 | $34,170 | $36,246 | $923 | 2.6% | $63.48 |
| 5070 Parking Income | $44,825 | $46,200 | $48,163 | $3,338 | 7.4% | $84.35 |
| 5080 Application Fees | $100,031 | $96,755 | $100,972 | $942 | 0.9% | $176.83 |
| 5090 Pet Rent | $11,387 | $10,704 | $11,364 | -$23 | -0.2% | $19.90 |
| 5100 Laundry Income | $54,285 | $50,937 | $54,489 | $203 | 0.4% | $95.43 |
| 5110 Cable/Internet Revenue | $50,957 | $54,880 | $57,288 | $6,331 | 12.4% | $100.33 |
| 5120 CAM Reimbursements | $82,561 | $88,064 | $91,964 | $9,403 | 11.4% | $161.06 |
| 5130 Tax Reimbursements | $99,040 | $102,805 | $109,394 | $10,354 | 10.5% | $191.58 |
| 5140 Insurance Reimbursements | $24,548 | $26,000 | $26,527 | $1,980 | 8.1% | $46.46 |
| 5150 Percentage Rent | $103,009 | $105,399 | $111,825 | $8,816 | 8.6% | $195.84 |
| 5160 Misc. Income | $13,439 | $14,221 | $14,585 | $1,146 | 8.5% | $25.54 |
| 5170 Payroll - Management | $72,017 | $70,347 | $72,184 | $167 | 0.2% | $126.42 |
| 5180 Payroll - Leasing | $92,961 | $98,608 | $101,357 | $8,396 | 9.0% | $177.51 |
| 5190 Payroll - Maintenance | $71,200 | $75,955 | $77,272 | $6,072 | 8.5% | $135.33 |
| 5200 Payroll Taxes & Benefits | $82,363 | $83,023 | $86,487 | $4,124 | 5.0% | $151.47 |
| 5210 Repairs - Plumbing | $80,189 | $79,964 | $84,889 | $4,701 | 5.9% | $148.67 |
| 5220 Repairs - HVAC | $32,535 | $33,713 | $35,804 | $3,269 | 10.0% | $62.70 |
| 5230 Repairs - Electrical | $38,282 | $40,727 | $42,182 | $3,900 | 10.2% | $73.87 |
| 5240 Repairs - Appliances | $51,975 | $50,168 | $51,723 | -$253 | -0.5% | $90.58 |
| 5250 Painting & Decorating | $68,454 | $71,026 | $72,392 | $3,937 | 5.8% | $126.78 |

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## Investor Distributions

Physical occupancy is 96.7% and the average in-place rent is $182 per unit per month. Projected levered IRR is 7.7% with an equity multiple of 1.6x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Physical occupancy is 92.2% and the average in-place rent is $182 per unit per month. Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

## Leasing and Marketing

Physical occupancy is 88.1% and the average in-place rent is $182 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.1% of billed charges, with bad debt of 3.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Physical occupancy is 90.1% and the average in-place rent is $182 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 4.2% with an equity multiple of 1.43x over the hold period. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Physical occupancy is 91.1% and the average in-place rent is $182 per unit per month. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

## Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Physical occupancy is 96.9% and the average in-place rent is $182 per unit per month. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 5 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

## Investment Overview

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Physical occupancy is 89.4% and the average in-place rent is $182 per unit per month.

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# Disclaimer and Confidentiality

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Jasper Verde Secure Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Jasper Verde Secure Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MA. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Jasper Verde Secure Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Jasper Verde Secure Storage and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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